

## 25SMCV05990 25SMCV05990

County: los-angeles

Division: Civil Law and Motion

Department: 207

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TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

June

26, 2026

CASE NUMBER

25SMCV05990

MATTER

Request

for Default Judgment

This case arises from a dispute concerning a series of unrepaid loans.

On November 17, 2025, Plaintiff Beverly Hills Brokers & Associates ("Plaintiff") brought suit against Defendants Rakesh Patel ("Rakesh"); Reena Patel ("Reena"); Alyna West Hotel Management, LLC ("Alyna") (together, "Defendants"); and Does 1 to 20, alleging three causes of action for (1) fraud – intentional

misrepresentation of fact; (2) fraud – promise made without intention to perform; and (3) breach of contract.

Defendants were served with the summons and complaint via substitute service on December 28, 2025. Default was entered against Defendants on February 24, 2026. The Doe Defendants remain named in the litigation. As a threshold procedural matter, the Court cannot enter default judgment while the Doe Defendants remain named in the litigation. (See California Rules of Court, rule 3.1800(a)(7).)

Plaintiff now requests default judgment against Defendants in the amount of \$539,997.58, representing \$469,000.00 in compensatory damages; \$56,923.02 in prejudgment interest; \$1,962.06 in costs; and \$12,112.50 in attorneys' fees.

#### A. Damages

Plaintiff's Complaint seeks \$490,000 in compensatory damages. (See Compl.) Therefore, Plaintiff does not seek damages in excess of what is pled in the Complaint. (See Code Civ. Proc., § 580, subd. (a) ["The relief granted to the plaintiff, if there is no answer, cannot exceed that demanded in the complaint"]; *Levine v. Smith* (2006) 145 Cal.App.4th 1131, 1136-1137 ["when recovering damages in a default judgment, the plaintiff is limited to the damages specified in the complaint"].)

In support of the request, Plaintiff advances the Declaration of Teena Anderson, Plaintiff's CEO, which provides:

3. Between January 9, 2024 and November 12, 2024, BHBA loaned funds to Defendants in connection with the Alyna West Hotel Management LLC ("Alyna West") hotel property and related business operations, and a personal loan for Reena Patel. Those loaned funds were sent to or for the benefit of Rakesh Patel ("Rakesh"), Reena Patel ("Reena"), and/or Alyna West through wire transfers, Zelle transfers, and cashier's checks. Although on a few occasions funds were transferred from my personal account, those transfers were made on behalf of BHBA and were intended by the parties as loans from BHBA.

4. The loans were later memorialized in written instruments, including a Memorandum of Agreement and multiple promissory notes.

The written instruments reflected principal loan obligations of \$250,000 for Loan No. 1, \$159,000 for Loan No. 2, and \$75,000 for Loan No. 3, for a total of \$484,000.

5. On December 11, 2024, BHBA entered into a written Memorandum of Agreement ("MOA") with Defendants Alyna West and Rakesh. I signed the MOA on behalf of BHBA as its authorized corporate officer. The MOA was intended to ratify and memorialize in writing the parties' prior loan arrangements. A true and correct copy of the MOA is attached as Exhibit 1 to the complaint.

6. The MOA identified and summarized the loans BHBA made in connection with the transactions at issue, as explained herein. In connection with those transactions, Rakesh, individually and/or on behalf of Alyna West, executed three promissory notes in favor of BHBA. I reviewed and accepted those notes on behalf of BHBA in reliance on Rakesh's representations that the obligations reflected in those written instruments were valid, enforceable, and would be repaid. I have personal knowledge of these promissory notes because I personally reviewed and accepted them on behalf of BHBA in connection with the loan transactions described above, relied on them in administering the parties' agreements, and maintained or reviewed BHBA's records relating to those notes. True and correct copies of the promissory notes referenced in the MOA are attached to the complaint as Exhibits 2, 3, and 4 to the complaint. Rakesh executed those promissory notes both in his individual capacity and on behalf of Alyna West.

7. In connection with Loan No. 3, Reena executed a separate promissory note dated November 12, 2024, in favor of BHBA in the principal amount of \$75,000. I signed that note on behalf of BHBA. Attached hereto as Exhibit B is a true and correct copy of the promissory note executed by Reena in favor of BHBA in the principal amount of \$75,000.

8. Rakesh, individually and on behalf of Alyna West, also executed a separate promissory note in favor of BHBA for Loan No. 3 in the amount of \$75,000. The Loan No. 3 note executed by Rakesh and/or Alyna West was intended to function as an additional guarantee for the same \$75,000 loan obligation owed by Reena to BHBA.

9. In connection with Reena's \$75,000 note, I demanded repayment from Reena when the note came due on November 18, 2024. Specifically,

on November 16, 2024, I reminded Reena that she had promised to repay the money by Monday, November 18, 2024. On November 18, 2024, I again demanded repayment by wire and stated that the loan payback was due that day. Reena did not repay the \$75,000 loan by the due date. Attached hereto as Exhibit C is a true and correct copy of text messages between Reena and me.

10. Around the time the MOA and promissory notes were executed, Rakesh made additional representations to me and to BHBA that repayment was secured and imminent. Among other things, he represented that investor and refinance funds were secured or forthcoming and that a partial payment would be made by December 31, 2024.

11. On behalf of BHBA, I relied on Rakesh's representations. In reliance on his assurances, I made the loans, accepted the promissory notes, and refrained from immediately pursuing collection efforts, legal action, or other remedies that BHBA otherwise would have considered

12. Immediately upon receiving Rakesh's signature on the MOA on December 11, 2024, during our in-person meeting, I orally demanded repayment of all amounts owed. Rakesh said that he would be able to pay me within three weeks. Thereafter, I repeatedly demanded payment from Rakesh and Alyna West. Those demands were made orally and in writing, including through text messages. The text messages between Rakesh and me reflect repeated requests for additional funds and more time, repeated promises or assurances of repayment, and repeated statements that payment would come from lenders, investors, refinancing, or other sources. Attached hereto as Exhibit D are true and correct copies of some of my texts with Rakesh.

13. After the MOA was executed, Rakesh continued to represent that payment was forthcoming and that he was working with lenders, private parties, refinancing sources, or other funding sources to repay BHBA. Some of my communications with Rakesh also included Brandon Rosenberg, who was added to a group text to assist with potential financing or refinancing that Rakesh said would be used to repay BHBA. In that group text, Rakesh discussed the hotel appraisal or broker price opinion, lenders, private parties, refinancing, and other funding sources. However, Defendants still did not repay BHBA. Attached hereto as Exhibit E are true and correct copies of selected group text messages between me, Rakesh, and Brandon Rosenberg.

14. Before execution of the MOA, Rakesh and Reena issued an

\$80,000 check to BHBA. That check was returned for insufficient funds. A true and correct copy of the returned check is attached to the complaint as Exhibit 6.

15. After the \$80,000 check was returned for insufficient funds, I demanded that Rakesh wire funds to cover the dishonored check. Rakesh continued to represent that he was working to obtain funds from lenders, through refinancing, or other sources, and he continued to promise that payment would be made. I have personal knowledge of these text messages because I sent and received them, recognized the phone number and contact as Rakesh's, and reviewed the attached copies for accuracy (Ex. D).

16. I later learned that, at the time Rakesh was making these representations to me on his behalf and on behalf of the other Defendants, Defendants were already in serious financial distress and were involved in other litigation concerning similar financial obligations. Had I known the true facts concerning Defendants' financial condition, prior defaults, lack of available funds, and the unlikelihood of Alyna West or the Patels obtaining the promised financing to repay BHBA, I would not have executed the MOA, accepted the promissory notes memorializing the prior loan transactions, or delayed immediate collection and enforcement efforts. Before I made the loans, Rakesh disclosed limited financial information that made his finances look better than they were, and I trusted him because we were friends.

17. After the MOA and promissory notes were signed, Defendants Rakesh and/or Alyna West made one payment of \$15,000 on February 6, 2025. These amounts were credited against the principal.

18. After execution of the MOA and promissory notes, Defendants failed to repay the amounts owed to BHBA, failed to transfer the promised ownership interest, failed to provide the promised security, and otherwise failed to perform their obligations. Despite further assurances that payment was forthcoming, Defendants did not repay the principal amounts due under the written instruments.

19. As a result of Defendants' conduct, BHBA suffered damage, including the loss of the principal sums advanced, the loss of the benefit of the promised security and ownership interest, and the costs incurred in attempting to recover the amounts due.

(Anderson  
Decl. ¶¶ 3-19.)

Therefore, the Court finds that  
Plaintiff has adequately substantiated the requested \$469,000.00 in damages as  
to Rakesh and Alyna. As to Aleena,  
however, Plaintiff has only substantiated \$75,000 in damages.

#### B. Prejudgment Interest

Plaintiff  
seeks interest at the lawful rate of 10% (which exceeds the interest rates  
varying from 24% to 30% stated in the promissory notes) as follows:

· Loan No. 1:  
\$250,000 + Loan No. 2: \$159,000 = \$409,000 for the 35 days from January 1, 2025  
through February 5, 2025 (until the \$15,000 payment was credited on February 6)  
in the amount of \$3,921.92

· \$409,000 for  
Loan Nos. 1 & 2 - \$15,000 payment = \$394,000 for the 491 days from February  
6, 2025 through June 12, 2026 = \$53,001.10

· Loan No. 3:  
\$75,000 for the 571 days from November 18, 2024 through June 12, 2026 =  
\$11,732.88

The  
Court agrees that Plaintiff is generally entitled to prejudgment interest  
against Rakesh and Alyna in the total amount of \$68,655.90 (\$3,921.92 +  
\$53,001.10 + \$11,732.88), of which Reena is jointly and severally liable for  
\$11,732.88, by virtue of her separate promissory note in connection with Loan  
No. 3, but Plaintiff's Default Judgment request seeks \$56,923.02 (\$3,921.92 +  
\$53,001.10) against all three Defendants.  
(See CIV-100.)

#### C. Attorneys' Fees and Costs

Code of Civil Procedure  
section 1033.5, which outlines recoverable costs to a prevailing party under

Code of Civil Procedure section 1032, permits the recovery of attorneys' fees when authorized by contract, statute, or law.

(Code Civ. Proc., § 1033.5, subd. (a)(10).) Code of Civil Procedure section 1021 provides "[e]xcept as attorney's fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties [...]" Similarly, Civil Code section 1717 provides "[i]n any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs." (Civ. Code, § 1717, subd. (a).)

The Code of Civil Procedure defines the "prevailing party" as follows:

[T]he party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant. If any party recovers other than monetary relief and in situations other than as specified, the "prevailing party" shall be as determined by the court, and under those circumstances, the court, in its discretion, may allow costs or not and, if allowed, may apportion costs between the parties on the same or adverse sides pursuant to rules adopted under Section 1034.

(Code Civ. Proc., § 1032, subd. (a)(4).) Here, Section III of each of the promissory notes provides as follows:

If any payment obligation under this Agreement is not paid when due, the Borrower promises to pay all costs of collection, including reasonable attorney fees, whether or not a lawsuit is commenced as part of the collection process.

(See Ex. 2, 3, 4 to Complaint and Ex. B to Anderson Decl.)

Local Rule 3.214 provides the default reasonable attorneys' fees for a principal balance over \$100,000 is

\$2,890 plus 1% of the excess over \$100,000.

Thus, for a principal balance of \$469,000, reasonable attorneys' fees are \$6,580 and for a principal balance of \$75,000.

Here, Plaintiff seeks attorneys' fees actually incurred in the amount of \$11,687.50, representing 27.5 hours at the hourly rate of \$425. (Delman Decl.

¶¶ 2-3.) Although this amount is nearly double the de facto reasonable attorneys' fees provided under Local Rule 3.214, in light of the fact that there are three loans, multiple interest rates, and three separate defendants, the Court finds the complexity of this action warrants the additional fees requested.

However, because Reena is only responsible for a principal balance of \$75,000, or about 16% of the total outstanding principal balance of \$469,000, the Court finds Reena is only jointly and severally liable for \$1,870.00 of the attorneys' fees.

Plaintiff also requests \$1,962.02 in costs composed of \$585 in filing fees, \$1,287.28 in process server fees, and \$89.78 in electronic filing fees. (CIV-100.) Plaintiff's request for costs is granted as Plaintiff is the prevailing party in this action. (Code Civ. Proc., § 1032, subd. (a)(4).) Further, because all these costs were reasonably incurred as to all three Defendants, they are all jointly and severally liable for the costs.

## CONCLUSION

Once the Doe Defendants are dismissed, Plaintiff is entitled to judgment as follows:

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As to Defendants Rakesh and Alyna: \$551,305.42 composed of \$469,000 in compensatory damages, \$68,655.90 in prejudgment interest, \$11,687.50 in attorneys' fees and \$1,962.02 in costs.

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Of those amounts, Defendant Reena is jointly and severally responsible in the amount of \$90,564.90 composed of \$75,000 in compensatory damages, \$11,732.88 in prejudgment interest, \$1,870 in attorneys' fees and \$1,962.02 in costs.



If Plaintiff

requests dismissal of the Doe defendants, either in writing or orally at the hearing and otherwise submits to the Court's tentative ruling, the Court will order Plaintiff to lodge a proposed judgment in conformance with the ruling on or before July 10, 2026.

Further, if the

Plaintiff submits on the Court's tentative ruling, the Court will continue the

Order to Show Cause re Entry of Default Judgment to July 20, 2026 at 8:30 A.M.

in Department 207 to ensure compliance with the Court's ruling. No appearance will be necessary at the July 20, 2026 hearing if the Default Judgment is entered beforehand.

DATED: June 26, 2026 /s/\_\_\_\_\_

Michael

E. Whitaker

Judge

of the Superior Court